

Cocoa: Positioning Meets Physical Risk

A release-time decision framework linking positioning, balance sheets and weather

AS OF: 20 Aug 2026 13:57 +0100

CONDITIONAL THESIS - NOT A FORECAST

Watch for convex upside event risk if crop recovery disappoints while managed money remains short and price confirms. The opposite case is weaker grindings, a larger official surplus, renewed price weakness and fresh short formation. This framework specifies evidence and invalidation; it does not claim causality or alpha.

LATEST MANAGED-MONEY NET

-6,667 contracts

Peak-to-trough shift: -105,656 contracts.

OFFICIAL PHYSICAL ANCHOR

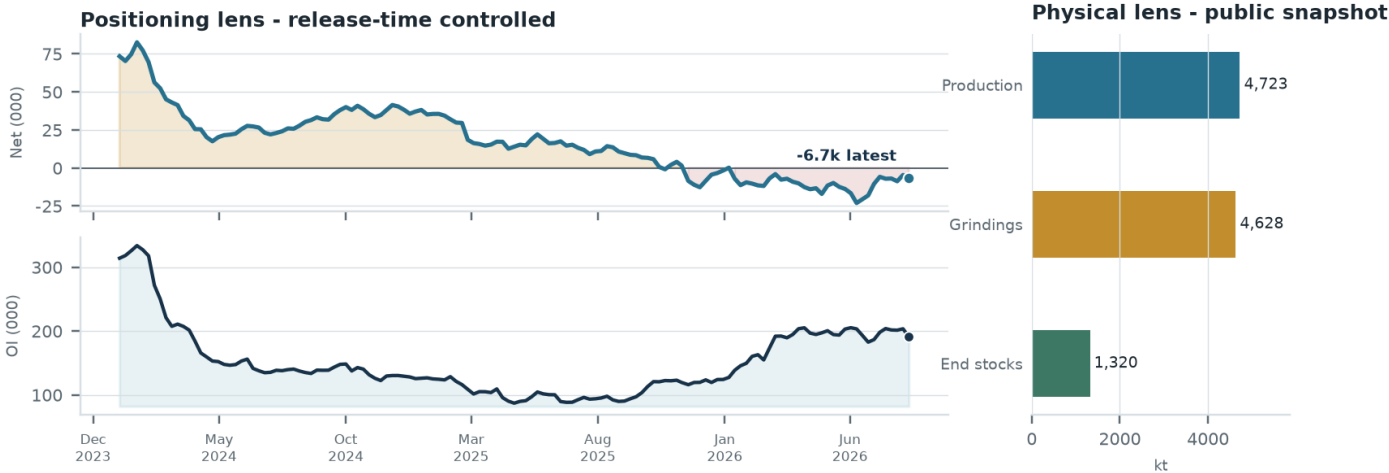
+48kt balance

Public snapshot; revision history shown only when captured.

WEATHER RISK STATE

SECOND-SOURCE CHECK

Context only; location proxies are not crop-area weighted or a production estimate.



World Bank Pink Sheet Jul 2026: 5.61 USD/kg - PUBLIC MONTHLY PROXY, NOT A FUTURES RETURN

PHYSICAL BALANCE SNAPSHOT

PUBLIC SNAPSHOT - NOT FULL VINTAGE HISTORY

2024/25 | published 29 May 2026 23:59 UTC

PRODUCTION	GRINDINGS	SURPLUS	ENDING STOCKS	STOCKS / GRIND
4,723kt	4,628kt	48kt	1,320kt	28.5%

Vintage discipline: 1 recorded balance revision. 3 recorded regional grindings releases. A single official estimate anchors the view but cannot establish the historical signal alone.

ICCO May Europe Q2 Asia Q2 N. America Q2

WEATHER AND EVENT LENS

SECOND-SOURCE CHECK REQUIRED

RAINFALL ANOMALY	DRY DAYS <1MM
+47.0% to +188.0%	5-6

Scope: Daloa and Kumasi location proxies; not crop-area weighted
Window through: 14 Aug 2026 | Snapshot: 20 Aug 2026 12:56 UTC

NASA POWER location proxies. Kumasi's June extreme requires a second-source check; weather is context-only and ineligible for the v1 gate.

Daloa NASA POWER Kumasi NASA POWER

Evidence hierarchy: release-time positioning + the registered official physical gate + NASA POWER weather context + scientific mechanisms. Weather cannot activate v1; price and return results remain public proxies until licensed contract-level data are supplied.

From Observation to a Falsifiable Trade Rule

Specific structure, bounded loss, scenario logic and honest backtest limits

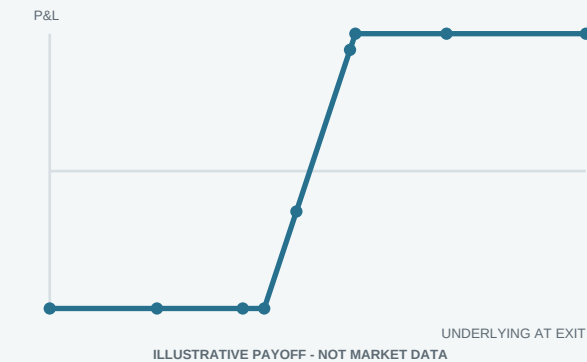
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DECISION GATE

Registered physical deterioration: MET. **Weather:** CONTEXT ONLY / INELIGIBLE FOR V1 GATE; it cannot activate the gate. A positioning reversal and licensed 20-session settlement breakout are also required. **Input status:** NOT EVALUATED - LICENSED SETTLEMENT HISTORY AND OPTION CHAIN ARE ABSENT.

ILLUSTRATIVE - NOT MARKET DATA: K1 5,500 | K2 6,350 | debit 300/t | fees \$20/spread | max loss \$3,020 | max gain \$5,480 | breakeven 5,802/t

DEFINED-RISK PAYOFF



HYPOTHETICAL TRADE RULE

HYPOTHETICAL / NO BROKER ACTION

Instrument: ICE Futures U.S. cocoa call spread - Dec-26
Input class: ILLUSTRATIVE / NOT MARKET DATA
Structure: Long first listed call at/above the licensed settlement; short first listed call at/above 115% of the long strike; conservative ask-minus-bid debit.
Entry: Next eligible session after positioning reversal, registered physical deterioration and a prior-20-session settlement breakout; licensed inputs required.
Exit / invalidation: Earliest of 40 sessions, normalized net ≥ 0 , normalized net below entry, or 10 sessions before option last trading day.
Maximum portfolio risk: 0.50%

SCENARIO ANALYSIS - ILLUSTRATIVE, HYPOTHETICAL AND NON-EXECUTABLE

SCENARIO	EXPIRY USD / TONNE	NET P&L USD / SPREAD	THESIS STATE
Downside / thesis fails	4500	-3,020.00	maximum defined loss
Near breakeven	5802	0.00	fees recovered
Upside shock	7200	5,480.00	maximum capped gain

HISTORICAL EVALUATION

PUBLIC PROXY - NOT TRADABLE

ELIGIBLE EVENTS	MEDIAN PROXY RETURN	POSITIVE OBSERVATIONS	MEAN BOOTSTRAP 95% CI
13 (12 complete)	+1.8%	58.3%	[-5.6%, +5.8%]
Mean proxy response: +0.61% Horizon: World Bank monthly proxy: m+1 to m+4 Censored: 1 Status: INCONCLUSIVE / UNDERPOWERED. Release-time eligibility, expanding-window thresholds and an untouched forward holdout are required. Monthly World Bank context is not an ICE futures return or executable P&L.			

SCIENTIFIC EVIDENCE - 3 NEAR-TERM SHOWN; 4TH PROJECTION REGISTRY/CONTEXT-ONLY

Asitoakor et al. 2022 Supports dual rainfall mechanism: moisture can aid health while wetter conditions raise black-pod pressure; management is a confounder Limit: Only three communities and 23 farms; climate and management vary together; association is not a causal tonne response source	Montero-Sanchez et al. 2025 Supports crop-stage lags and non-monotonic rainfall interpretation; does not establish a market signal Limit: Gridded monthly weather and observational associations; farm management disease and tree competition remain relevant; pod counts are not traded tonnes source	Gateau-Rey et al. 2018 Supports severe-drought tail-risk mechanism but not a West Africa effect size Limit: Single Brazilian municipality near cocoa climatic limits; no untreated contemporaneous control; do not transfer the magnitude to West Africa source
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